

European Technology/Software

Software/IT services sector: Further recovery, less euphoria



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On Tuesday after market close, we attended the semi-annual meeting of France's trade association of software and IT service companies (Numeum). The organisation presented the results of a survey conducted among its members in April/May covering 413 companies and CIOs, 43% of which were IT service providers, 29% software vendors and 28% CIOs. As usual, it engaged an industry research firm—in this case Xerfi—to conduct the survey and forecast growth through 2026 for the various market segments it tracks.

Still recovering but less so than initially anticipated. First, we note that this survey was conducted when the Middle East conflict was very much in the foreground and GDP growth forecasts for France had already begun to be revised down (10bp drop between late March and late April). The survey also reflects the very low morale among small firms, spanning both software vendors and IT service providers. For small IT service firms, challenges include the trend among clients to consolidate and narrow down their lists of preferred suppliers, the shift toward nearshore and offshore delivery models, and the need to invest in new technologies. For small software vendors, difficulties centre on the capacity to invest and the need to avoid being hit by rising operating costs associated with AI-powered tools. For these reasons (economic climate and the weight of small businesses' responses to the survey), we are not overly concerned by the slightest hint of optimism emerging from the poll compared to six months ago. For once, the main downward revision relates to the software segment (from +8.4% to +6.2%), while IT services firms' growth is projected to remain in the low single digits. Numeum anticipates higher growth in 2H than 1H for all segments. See details in [Exhibit 1](#) and [Exhibit 2](#).

'SaaSocalypse' not a reality but a foreboding. While software vendors are not seeing their existing business being disrupted by new entrants—with no increase observed in churn and no proliferation of 'software factories' springing up to replace established software—those surveyed believe that decision-makers are taking longer to make choices due to the technological upheaval caused by AI. They also express more concern about the future than we had anticipated. For software vendors still in the early stages of AI adoption, the road ahead appears long—both to monetise new features and evolve technology stacks to match the capabilities of AI-native companies. One statistic in particular struck us: 22% of CIOs believe that agentic AI could replace or reduce certain software expenditures. The word 'certain' is crucial here, as it likely refers to applications that are less central to core business operations. This echoes a study by the consulting firm Bain highlighting its ability—within the context of M&A processes—to identify applications that could be 80% rewritten in just ten days using AI.

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Bringing IT services back in-house is certainly an option, but not because of AI. In the survey, members highlight the possibility of in-sourcing IT services activities. This option has always existed, but it tends to gain traction during periods of rapid, profound innovation as companies seek to internalise the knowledge associated with these new technologies. In other words, it is not AI driving this move to insource but rather the pace of innovation and technological disruption.

AI: a source of additional business, but no margin boost. Whether for software vendors or IT service providers, the productivity gains observed and projected are substantial, yet neither group anticipates a significant improvement in profitability—for various reasons, primarily the passing on of gains to clients and the need to shoulder additional costs.

Energy efficiency/green IT: no longer a priority. Unfortunately, faced with technological disruption and the need to evolve information systems and remain competitive, energy efficiency and Green IT rank as a priority in 2026 for only 22% of the CIOs surveyed—well behind cybersecurity, compliance, the optimisation of unavoidable costs, and generative AI.

EXHIBIT 1: **Numeum market growth forecasts by segment (yoy %)**

	2023			2024			2025			2026e	
	Dec 2022 forecast	Jun 2023 forecast	Dec 2023 actual	Dec 2023 forecast	Jun 2024 forecast	Dec 2024 actual	Dec 2024 forecast	Jun 2025 forecast	Dec 2025 forecast	Dec 2025 forecast	Jun 2026 forecast
IT services	+3.7%	+4.2%	+4.1%	+3.3%	+3.3%	+0.7%	+0.9%	-2.1%	-1.8%	+1.4%	+1.0%
Outsourced engineering services	+5.6%	+5.9%	+5.5%	+4.6%	+4.6%	+1.0%	+1.3%	-2.5%	-2.5%	+1.0%	+0.2%
Software	+9.4%	+9.4%	+10.3%	+9.5%	+9.5%	+8.2%	+9.0%	+8.2%	+8.2%	+8.4%	+6.2%
French IT services/software market	+5.9%	+6.3%	+6.5%	+5.8%	+5.8%	+3.5%	+4.1%	+1.8%	+2.0%	+4.3%	+3.0%

Source: Numeum data and estimates

EXHIBIT 2: **Market growth set to accelerate in 2H26**

	1H26	FY26e
IT services	+0.8%	+1.0%
Outsourced engineering services	-0.2%	+0.2%
Software	+6.0%	+6.2%

Source: Numeum data and estimates

INVESTMENT IMPLICATIONS

No changes in rating and PT.

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	7 Jul 2026	Price	Target	TTM	Adjusted EPS				EV/Adj EBIT (x)		
			Closing			Rel.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
ATE.FP (Alten)	O	EUR	55.95	135.00	(45.5)%	EUR	4.91	7.07	7.72	5.6	5.2	4.9	
ATO.FP (Atos)	U	EUR	34.40	43.00	(4.3)%	EUR	(50.11)	(1.73)	3.25	(7.5)	7.9	5.8	
AUB.FP (Aubay)	O	EUR	55.50	66.00	(7.8)%	EUR	3.06	3.57	3.76	13.1	11.0	10.4	
CAP.FP (Capgemini)	O	EUR	93.82	208.00	(50.6)%	EUR	12.86	13.00	13.95	7.3	7.2	6.7	
GIB/A.CN (CGI)	U	CAD	95.74	141.00	(53.3)%	CAD	8.28	8.82	9.72	11.6	10.9	9.8	
IDR.SM (Indra)	O	EUR	51.38	66.00	19.7%	EUR	2.48	2.53	3.10	20.7	20.3	16.6	
OVH.FP (OVHcloud)	O	EUR	16.80	19.00	38.9%	EUR	(0.01)	0.13	0.41	8.7	8.1	7.1	
REY.IM (Reply)	M	EUR	96.80	120.00	(50.5)%	EUR	7.13	7.71	8.13	8.6	7.8	7.4	
SOP.FP (Sopra Steria)	O	EUR	152.00	242.00	(43.8)%	EUR	16.47	16.87	18.84	7.9	7.7	7.0	
74SW.FP (74Software)	O	EUR	37.20	55.00	(23.1)%	EUR	2.25	2.84	3.43	12.7	11.5	10.1	
EDME			1,606.65										
SPX			7,503.85										

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

CAP.FP, GIB/A.CN, IDR.SM valuation is Adjusted P/E (x); OVH.FP valuation is EV/Adj EBITDA (x);

Source: Bloomberg, Bernstein estimates and analysis.

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